

THE WALL STREET JOURNAL.

DJIA 42098.70 ▼ 244.95 0.58%

NASDAQ 19100.94 ▼ 0.5%

STOXX 600 548.93 ▼ 0.6%

10-YR. TREAS. ▼ 12/32, yield 4.479%

OIL \$61.84 ▲ \$0.95

GOLD \$3,293.60 ▼ \$5.50

EURO \$1.1294

YEN 144.87

What's News

Business & Finance

- ◆ **Nvidia's revenue** surged 69% in the latest quarter even though the company is effectively shut out of China, one of the largest markets for advanced artificial-intelligence chips. **A1**
- ◆ **Elon Musk was ready** to derail OpenAI's recent deal to build an enormous artificial-intelligence data center in Abu Dhabi if the arrangement didn't include his own AI startup. **A1**
- ◆ **Fed officials signaled** concern at their meeting this month that large tariff increases would push up prices and could risk stoking higher inflation, minutes show. **A2**
- ◆ **Major U.S. stock indexes** fell, with the S&P 500 and Dow both shedding 0.6% and the Nasdaq retreating 0.5%. **B9**
- ◆ **Macy's reported** a decline in profit for its fiscal first quarter and cut its full-year profit outlook to account for tariffs and some moderation in consumer spending. **B1**
- ◆ **A month into** negotiations between Paramount Global and Trump to settle his lawsuit against CBS News, the parties remain far apart on terms. **B1**
- ◆ **Salesforce raised its** full-year sales outlook after first-quarter earnings and revenue beat expectations, as AI continues to boost its business. **B4**
- ◆ **GM Chief Executive** Mary Barra voiced support for Trump's tariffs, saying that U.S. automakers face unfair disadvantages in the global marketplace. **B1, B2**

World-Wide

- ◆ **A federal trade court** ruled that President Trump didn't have the authority to impose sweeping tariffs on virtually every nation, voiding the levies that have sparked a global trade war and threatened to upend the world economy. **A1**
- ◆ **Developers of two** left-for-dead natural-gas pipeline projects in New York prepared to file permitting paperwork with federal energy regulators to move forward with the projects. **A3**
- ◆ **Germany will step up** its financial and military aid to Ukraine, Chancellor Friedrich Merz said at an appearance with Zelensky in Berlin, the latest sign Europe is becoming a key backer of Kyiv. **A7**
- ◆ **Trump said he would** nominate Emil Bove, a top Justice Department official who previously served as his criminal defense attorney, to a seat on a federal appeals court. **A5**
- ◆ **A federal judge in** New Jersey said that the Trump administration's efforts to deport Columbia University demonstrator Mahmoud Khalil were likely unconstitutional. **A3**
- ◆ **Musk said his stint** as a government employee is ending, as he criticized the GOP tax-and-spending bill for failing to reduce the deficit. **A4**
- ◆ **Harvard Business School** revoked the tenure of Francesca Gino, once a star faculty member, after an investigation concluded that she engaged in multiple instances of research misconduct. **A4**

JOURNAL REPORTS

Healthcare: The impact of an autism diagnosis in adulthood. **R1-6**

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Court Strikes Down Trump Tariffs

Judges rule levies exceed authority of president under his emergency powers

By JAMES FANELLI AND GAVIN BADE

A federal trade court ruled President Trump didn't have the authority to impose sweeping tariffs on virtually every nation, voiding the levies that have sparked a global trade war and threatened to upend the world economy. The decision on Wednesday from the Court of International Trade blocked one of the Trump administration's most

audacious assertions of executive power, under the International Emergency Economic Powers Act of 1977. Shortly after the decision was handed down, lawyers for the Trump administration notified the court they will appeal. "The court does not read IEEPA to confer such unbounded authority and sets aside the challenged tariffs imposed thereunder," a three-judge panel wrote. Trump has used IEEPA to underpin most of his second-term tariffs—from duties on Canada, Mexico and China imposed over fentanyl smuggling to the far-reaching reciprocal tariffs levied in early April on virtually every U.S. trading

partner. Trump later paused the reciprocal tariffs for 90 days to allow for negotiations. U.S. stock-index futures rose sharply Wednesday evening following the ruling. Futures on the S&P 500 rose 1.5%, while those on the Dow Jones Industrial Average added 1.2%. In Asia, Japan's Nikkei Stock Average was up 1.3% in Thursday morning trading. Congress typically holds responsibility over tariffs but has delegated many powers to the president over decades. When he imposed the levies in April, Trump said the continuing U.S. trade deficit had created a national emergency that has hobbled the economy and posed an unusual and ex-

traordinary threat. Wednesday's ruling said that it would be unconstitutional for Congress to delegate "unbounded tariff power" to the president. "An unlimited delegation of tariff authority would constitute an improper abdication of legislative power to another branch of government," the court said. Congress placed limits in IEEPA, restricting when and how a president could place levies, the ruling said. The panel also said that the U.S. trade deficit didn't fit the law's definition of an unusual and extraordinary threat. The order blows a hole in global trade talks, already under way with more than a

dozen nations, which began after the reciprocal tariffs were imposed. It also throws into question recent agreements with the U.K. and China reached after the reciprocal tariffs were imposed. The Trump tariffs led to several challenges in the Court of International Trade and in federal courts around the country. The trade court, which has nationwide jurisdiction over tariffs and trade disputes, was the first to rule on requests for injunctions after holding hearings in two cases. Appeals from the court are heard by the U.S. Court of Appeals for the Federal Circuit and ultimately by the Supreme Court. *Please turn to page A5*

Siblings Killed in Russian Strike Are Mourned



FAMILY'S PAIN: A funeral was held Wednesday in Korostyshiv, Ukraine, for two brothers and their sister killed in a Russian missile strike over the weekend. In Russia, President Vladimir Putin has increasingly focused his country's economy on war. **A7**

Nvidia's Sales Soar 69% On AI Demand

By DAN GALLAGHER AND CONNOR HART

Nvidia's revenue surged 69% in the latest quarter—even with the company effectively shut out of one of the world's largest markets for advanced artificial-intelligence chips. The chip titan has been on a roller-coaster over the past few months after the Trump administration moved to limit sales of chips to the Chinese market and cleared the way for multibillion-dollar deals for processors in the Middle East. Nvidia, which has emerged as one of the world's most valuable companies because its chips provide the computing power needed in a global AI arms race, posted another quarter of record-breaking sales. *Please turn to page A5*

Ozempic Maker Lost Edge In Obesity Drug Fight

By PETER LOFTUS AND NOEMIE BISSEBIE

In 2023, Novo Nordisk was the most valuable company in Europe, surpassing LVMH on the back of soaring demand for Ozempic and Wegovy. Today, the Danish company has lost its grip on the anti-obesity market it carved out. The company has lost market share amid production missteps and a bungled rollout of Wegovy that led to shortages. Its U.S. rival Eli Lilly—initially in the rearview mirror—has been proven to have the more effective weight-loss drug and a more promising pipeline of next-generation treatments. Novo Nordisk's R&D machine has disappointed, and a key marketing strategy was slow to get off the ground. Novo Nordisk's ability to stay atop a market that analysts see growing to \$150 billion in annual sales is now in doubt. Its controlling shareholder this month forced a surprise ouster of the company's chief executive, Lars Fruergaard Jørgensen. And while it is still generating multibillion-dollar sales for Ozempic and Wegovy, shares have tumbled more than 50% over the past year.

If Novo Nordisk doesn't turn things around, it could join a long list of companies that blew a first-mover advantage, from Sunshine Biscuits—whose Hydrox cookies were overtaken by now-iconic Oreos—to the Myspace social network. *Please turn to page A2*

INSIDE

JOANNA STERN
Welcome to the premiere of 'My Robot & Me'—generated by AI. **A11**

BUSINESS & FINANCE
The end of Southwest's 'bags fly free' threatens its on-time record. **B1**

Traveling Sales Reps Share Biggest Trade Secret: Bathrooms

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Veterans of the profession swap strategies honed over years on the road; 'toilet mentor'

By CHRIS KORNELIS

When James Williams wanted to get into sales, industry veteran Tommy Monette was his guide. Monette got him his first job. He accompanied him on sales calls. And perhaps most importantly, he taught Williams the importance of knowing where to go. "He was my toilet mentor," said Williams, who travels the country selling footwear, apparel and other products. Williams is part of an army of salespeople who spend large chunks of their lives on the road. It's a grueling job full of rejection. People who survive and thrive say maintaining sanity and longevity depends partly on having ready access to quality restrooms. They are forever on the hunt for remote outposts that are kept clean, boast ample hooks for jackets and bags and have stall doors that go all the way to the floor. Because there's no TripAdvisor for toilets, salespeople create their own referral networks. They text each other about restrooms in high-end hotel lobbies that don't have locks. When they see each other at events they talk about truck stops with facilities that sparkle. *Please turn to page A8*

North Korea Steals U.S. Remote Jobs

Scam using falsified identities to get illegal paychecks is a growing problem

By ROBERT MCMILLAN AND DUSTIN VOLZ

Christina Chapman looked the part of an everyday American trying to make a name for herself in hustle culture. In prolific posts on her TikTok account, which grew to more than 100,000 followers, she talked about her busy life working from home with clients in the computer business and the fantasy

book she had started writing. She posted about liberal political causes, her meals and her travels to see her favorite Japanese pop band. Yet in reality the 50-year-old was the operator of a "laptop farm," filling her home with computers that allowed North Koreans to take jobs as U.S. tech workers and illegally collect \$17.1 million in paychecks from more than 300 American companies. *Please turn to page A8*

Musk Tried to Sabotage Altman's U.A.E. Deal

OpenAI led a group of U.S. technology giants that won a deal last week to build one of the world's largest artificial-intelligence data centers in Abu Dhabi. Behind the scenes,

By Dana Mattioli, Josh Dawsey and Eliot Brown

Elon Musk worked hard to try to derail the deal if it didn't include his own AI startup, according to people familiar with the matter. On a call with officials at G42, an AI firm controlled by the brother of the United Arab Emirates' president, Musk had a warning for those assembled: Their plan had no chance of President Trump signing off on it unless his company xAI was included in the deal, according to some of the people. Musk had learned just be-

fore Trump's mid-May tour of three Gulf countries that OpenAI Chief Executive Sam Altman was going to be on the trip and that a deal in the U.A.E. was in the works, and grew angry about it, according to White House officials. He then said he would also join the trip, and appeared alongside the president in Saudi Arabia. After Musk's complaints, Trump and U.S. officials reviewed the deal terms and decided to move forward. The White House officials said Musk didn't want a deal that seemed to benefit Altman. Aides discussed how to best calm Musk down, one of the officials said, because Trump and David Sacks, the president's brother-in-law, were involved. *Please turn to page A4*

◆ **Musk to leave government,** criticizes tax bill. **A4**